

THE STANDARD GROUP LIMITED

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FINANCIAL STATEMENTS

31 DECEMBER 2007

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THE STANDARD GROUP LIMITED

FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2007

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THE STANDARD GROUP LIMITED

CORPORATE INFORMATION

DIRECTORS	Robin Sewell	-	Chairman
	Paul Melly	-	Deputy Chairman and Strategy Advisor
	Paul Wanyagah	-	Managing
	John Opiyo		
	Zehrabanu Janmohamed		
	Lerionika S. Tiampati		
	James Boyd Mcfie		
COMPANY SECRETARY	Nelly Matheka		
	I&M Bank Tower		
	Kenyatta Avenue		
	P O Box 30080 - 00100		
	Nairobi		
REGISTERED OFFICE	I&M Bank Tower		
	Kenyatta Avenue		
	P O Box 30080 - 00100		
	Nairobi		
AUDITORS	Deloitte & Touche		
	Certified Public Accountants (Kenya)		
	"Kirungii" Ring Road, Westlands		
	P O Box 40092 - 00100		
	Nairobi		
ADVOCATES	Mohammed & Muigai Advocates		
	Hazina Towers		
	P O Box 61323 - 00200		
	Nairobi		
PRINCIPAL PLACE OF BUSINESS	Ochieng', Onyango, Kibet and Ohaga		
	ACK Garden House		
	P O Box 43170 - 00100		
	Nairobi		
BANKERS	I&M Bank Tower, Kenyatta Avenue		
	P O Box 56985 - 00100		
	Nairobi		
BANKERS	CFC Bank Limited		
	Chiromo Road		
	P O Box 72833- 00200		
	Nairobi		
BANKERS	Commercial Bank of Africa Limited		
	Wabera/Standard Street		
	P O Box 30437 - 00100		
	Nairobi		

THE STANDARD GROUP LIMITED

REPORT OF THE DIRECTORS

The directors present their report and the audited financial statements for the year ended 31 December 2007.

PRINCIPAL ACTIVITY

The principal activities of the group are the publishing of The Standard, Saturday Standard and The Sunday Standard newspapers, the distribution of selected local and international newspapers, magazines and periodicals, and television broadcasting under the name of KTN.

CHANGES DURING THE YEAR

With effect from 1 January 2008, the assets and liabilities of The Standard Limited were transferred to The Standard Group Limited. As a result, The Standard Group Limited is the trading company in the print business while The Standard Limited remains a dormant company.

GROUP RESULTS

	Sh'000
Profit before taxation	413,120
Taxation charge	(123,300)
Profit after taxation	289,820
Attributable to:	
Minority interest	69,018
Shareholders of the parent company	220,802
Profit for the year transferred to revenue reserve	289,820

DIVIDEND

During the year, an interim dividend of Sh 1 per share amounting to Sh. 65,133,000 (2006 – Nil) was paid in respect of the year. The directors do not recommend the payment of a final dividend in respect of the year.

DIRECTORS

The present membership of the directors is set out on page 2.

Messrs Ben K. Chepkoi, Chris Kisire and Kwendo Opanga retired as directors on 20 June 2007, 2 January 2008 and 1 February 2008 respectively. Ms. Zehrabanu Janmohamed, Mr Lerionika Samuel Tiampati and Dr. James Boyd Mcfie were appointed directors on 9 July 2007.

AUDITORS

Deloitte & Touche, having expressed their willingness, continue in office in accordance with section 159(2) of the Companies Act.

BY ORDER OF THE BOARD



Secretary

28 April,

2008

THE STANDARD GROUP LIMITED

CONSOLIDATED INCOME STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2007

	Note	2007 (12 months) Sh'000	2006 (15 months) Sh'000
REVENUE	2	2,608,218	2,964,610
DIRECT COSTS		(858,786)	(1,069,188)
GROSS PROFIT		1,749,432	1,895,422
SELLING AND DISTRIBUTION COSTS		(162,443)	(199,858)
ADMINISTRATION EXPENSES		(1,164,229)	(1,397,170)
OTHER INCOME	4	26,759	26,629
OPERATING PROFIT	5	449,519	325,023
FINANCE COSTS	6	(36,399)	(20,516)
PROFIT BEFORE TAXATION		413,120	304,507
TAXATION EXPENSE	7	(123,300)	(99,250)
PROFIT FOR THE YEAR/PERIOD	8	289,820	205,257
ATTRIBUTABLE TO:			
MINORITY INTEREST	18	69,018	51,874
SHAREHOLDERS OF THE PARENT		220,802	153,383
		289,820	205,257
		=====	=====
		Sh	Sh
EARNINGS PER SHARE – BASIC & DILUTED	9(a)	3.01	2.09
		=====	=====
DIVIDEND PER SHARE			
- Paid	9(b)	1	Nil
- Proposed	9(b)	Nil	Nil
		1	Nil
		=====	=====

THE STANDARD GROUP LIMITED
CONSOLIDATED BALANCE SHEET
31 DECEMBER 2007

	Note	2007 Sh'000	2006 Sh'000
ASSETS			
Non current assets			
Plant and equipment	10	1,217,867	503,762
Prepaid operating lease	11	43,726	-
Intangible assets	12	10,916	-
Investment	13	630	630
		1,273,139	504,392
Current assets			
Inventories	14	148,798	148,859
Trade and other receivables	15	775,970	600,413
Bank and cash balances		6,143	37,696
		930,911	786,968
Total assets		2,204,050	1,291,360
		=====	=====
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	16	366,477	325,769
Share premium		3,765	44,473
Revenue reserve		182,609	26,940
Attributable to equity holders of the parent		552,851	397,182
Minority interest	17	239,706	170,688
Total shareholders' equity		792,557	567,870
Non current liabilities			
Due to related parties	18	122,095	101,801
Deferred tax liability	19	135,616	35,017
Borrowings	20	451,465	37,146
		709,176	173,964
Current liabilities			
Due to related parties	18	-	20,880
Borrowings	20	250,318	57,788
Trade and other payables	21	435,030	461,978
Taxation payable	7(c)	16,969	8,880
		702,317	549,526
Total equity and liabilities		2,204,050	1,291,360
		=====	=====

The financial statements on pages 6 to 34 were approved by the board of directors on 28 April 2008 and were signed on its behalf by:

) Director
)
) Director

THE STANDARD GROUP LIMITED

COMPANY BALANCE SHEET

31 DECEMBER 2007

	Note	2007 Sh'000	2006 Sh'000
ASSETS			
Non current assets			
Plant and equipment	10	959,876	-
Prepaid operating lease	11	43,726	-
Intangible assets	12	10,916	-
Investments	13	4,122	4,122
		1,018,640	4,122
Current assets			
Inventories	14	102,978	-
Trade and other receivables	15	543,317	1,234
Bank and cash balances		5,953	945
		652,248	2,179
Total assets			
		1,670,888	6,301
		=====	=====
EQUITY AND LIABILITIES			
Capital and reserves			
Share capital	16	366,477	325,769
Share premium		3,765	44,473
Revenue - deficit		(300,653)	(384,486)
Shareholders' equity		69,589	(14,244)
Non current liabilities			
Due to related parties	18	467,776	14,471
Deferred tax liability	19	117,508	-
Borrowings	20	411,807	-
Shareholders equity		997,091	14,471
Current liabilities			
Borrowings	20	223,278	-
Trade and other payables	21	378,988	6,074
Taxation		1,942	-
		604,208	6,074
Total equity and liabilities			
		1,670,888	6,301
		=====	=====

The financial statements on pages 6 to 34 were approved by the board of directors on 28 April 2008 and were signed on its behalf by:

) Director

)

) Director

THE STANDARD GROUP LIMITED

CONSOLIDATED AND COMPANY STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2007

	Share capital Sh'000	Share premium Sh'000	Revenue reserve/ (deficit) Sh'000	Shareholders' equity (group) Sh'000	Minority Interest Sh'000	Shareholders' equity Total Sh'000
GROUP						
At 1 October 2005	325,769	44,473	(126,443)	243,799	118,814	362,613
Profit for the period	-	-	153,383	153,383	51,874	205,257
At 31 December 2006	325,769	44,473	26,940	397,182	170,688	567,870
	=====	=====	=====	=====	=====	=====
At 1 January 2007	325,769	44,473	26,940	397,182	170,688	567,870
Bonus shares issued	40,708	(40,708)	-	-	-	-
Interim dividend paid	-	-	(65,133)	(65,133)	-	(65,133)
Profit for the year	-	-	220,802	220,802	69,018	289,820
At 31 December 2007	366,477	3,765	182,609	552,851	239,706	792,557
	=====	=====	=====	=====	=====	=====
COMPANY						
At 1 October 2005	325,769	44,473	(381,379)	(11,137)		
Loss for the period	-	-	(3,107)	(3,107)		
At 31 December 2006	325,769	44,473	(384,486)	(14,244)		
	=====	=====	=====	=====		
At 1 January 2007	325,769	44,473	(384,486)	(14,244)		
Bonus shares issued	40,708	(40,708)	-	-		
Interim dividend paid	-	-	(65,133)	(65,133)		
Profit for the year	-	-	148,966	148,966		
At 31 December 2007	366,477	3,765	(300,653)	69,589		
	=====	=====	=====	=====		

THE STANDARD GROUP LIMITED

CONSOLIDATED CASH FLOW STATEMENT
FOR THE YEAR ENDED 31 DECEMBER 2007

	Note	2007 (12 months) Sh'000	2006 (15 months) Sh'000
CASH FLOWS FROM OPERATING ACTIVITIES			
Cash generated from operations	22(a)	362,423	396,203
Interest paid		(36,356)	(20,237)
Tax paid	7(c)	(14,612)	(56,259)
Net cash generated from operating activities		311,455	319,707
CASH FLOWS FROM INVESTING ACTIVITIES			
Purchase of property, plant and equipment		(840,809)	(243,628)
Proceeds from sale of property, plant and equipment		5,217	-
Purchase of leasehold land		(44,000)	-
Purchase of intangible assets		(4,669)	-
Net cash used in investing activities		(884,261)	(243,628)
CASH FLOWS FROM FINANCING ACTIVITIES			
Shareholders' loans repaid		(587)	(35,280)
Bank loan received		518,326	49,475
Bank loan repaid		(31,392)	(1,442)
Dividends paid		(65,133)	-
Net cash generated from financing activities		421,214	12,753
NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS		(151,592)	88,832
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR/PERIOD		(7,763)	(96,595)
CASH AND CASH EQUIVALENTS AT END OF THE YEAR/PERIOD	22(b)	(159,355)	(7,763)

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS FOR THE YEAR ENDED 31 DECEMBER 2007



1 ACCOUNTING POLICIES

Statement of compliance

The financial statements are prepared in accordance with International Financial Reporting Standards. The principal accounting policies adopted remain unchanged from the previous year.

Adoption of new and revised International Financial Reporting Standards

Standards and Interpretations effective in the current period

In the current year, the company has adopted IFRS 7 Financial Instruments, which is effective for annual reporting periods beginning on or after 1 January 2007, and the consequential amendments to IAS 1 Presentation of Financial Statements: Disclosures.

The impact of the adoption of IFRS 7 and the changes to IAS 1 has been to expand the disclosures provided in these financial statements regarding the Company's financial instruments and management of capital (see note 28). IFRS 7 supersedes IAS 30 and the disclosure requirements of IAS 32.

Four Interpretations issued by the International Financial Reporting Interpretations Committee are effective for the current period. These are:

- IFRIC 7 Applying the Restatement Approach under IAS 29, Financial Reporting in Hyperinflationary Economies;
- IFRIC 8 Scope of IFRS 2;
- IFRIC 9 Reassessment of Embedded Derivatives; and
- IFRIC 10 Interim Financial Reporting and Impairment.

The adoption of these Standards and Interpretations has not led to any changes in the Company's accounting policies.

Standards and Interpretations in issue not yet adopted

At the date of authorisation of these financial statements, the following Standards and Interpretations were in issue but not yet effective:

- IFRS 8 Operating Segments;
- IFRIC 11 IFRS 2: Company and Treasury Share Transactions;
- IFRIC 12 Service Concession Arrangements;
- IFRIC 14 IAS 19: The Limit on a Defined Benefit Asset, Minimum Funding Requirements and their Interaction; and
- IFRIC 13 Customer Loyalty Programmes.

The revisions to IAS 23 will have an impact on the Company's accounting policies. The principal change to the Standard, which is to eliminate the previously available option to expense all borrowing costs when incurred, differs from the Company's current accounting policy to expense borrowing costs incurred on qualifying assets.

The directors anticipate that the adoption of these Standards and Interpretations will not have a material impact on the financial statements of the Company in the period of initial application.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Basis of accounting

The financial statements have been prepared under the historical cost convention. The principal accounting policies are set out below.

Basis of consolidation

Subsidiary undertakings, being those companies in which the group either directly or indirectly has an interest of more than 50% of the voting rights or otherwise has power to exercise control over the operations, have been consolidated. Subsidiaries are consolidated from the date on which effective control is transferred to the group and are no longer consolidated as from the date of disposal. All inter company balances and unrealised surpluses and deficits on transactions with the subsidiary companies have been eliminated.

The consolidated financial statements incorporate the financial statements of the company and its subsidiaries: The Standard Limited, Baraza Limited and Agency Sales and Promotion Limited, all made up to 31 December. Kenya Television Network Limited (in receivership) has not been consolidated as, in the opinion of the directors, control is intended to be temporary as the subsidiary is held with a view to subsequent disposal.

Minority interests in the net assets of the consolidated subsidiaries are identified separately from the group's entity therein. Minority interests consist of the amount of these interests at the date of the original business combination and the minority's share of the changes in equity since the date of the combination.

Revenue recognition

Revenue from the sale of newspapers and magazines is recognised upon the delivery of goods to customers or when title has passed to customers. Advertisement revenue is recognised when advertisements are published in the newspaper or aired on television. All revenue is stated net of VAT and discounts.

Interest income is recognised as it accrues, unless its collectibility is in doubt.

Other income is recognised on an accrual basis.

Taxation

Tax on the profit or loss for the period comprises current tax and the change in deferred tax.

Current taxation is provided on the basis of the results for the period, as shown in the financial statements, adjusted in accordance with tax legislation.

Deferred income tax is provided, using the liability method, for all temporary differences arising between the tax bases of assets and liabilities and their carrying values for financial reporting purposes. Currently enacted tax rates are used to determine deferred income tax.

Plant and equipment

Items of plant and equipment are stated at historical cost less accumulated depreciation and impairment losses.

Intangible assets

Computer software costs are stated at cost less amortisation. The costs are amortised over the expected useful lives of the software on the straight line basis.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Depreciation

Depreciation on property, plant and equipment is calculated to write off the cost in equal annual instalments over their expected useful lives. The annual rates used are:

Plant and machinery	10%
Motor vehicles	25%
Furniture, fittings and equipment	10% - 33 1/3%

Leases

Leases are classified as finance leases whenever the terms of the lease transfer substantially all risks and rewards of ownership to the group as the lessee. All other leases are classified as operating leases.

Rentals payable under operating leases are amortised on the straight line basis over the term of the relevant lease.

Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised over the period of the lease.

Impairment

At each balance sheet date, the group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises direct materials and, where applicable, direct labour costs and the overheads incurred in bringing the inventories to their present location and condition. Costs of direct materials are determined on the first-in first-out basis, while those of general consumable stores are determined on the weighted average cost basis. Film stock is expensed when first aired. Net realisable value represents the estimated selling price less the estimated cost to completion and costs to be incurred in marketing, selling and distribution.

Currency translations

Assets and liabilities that are denominated in foreign currencies are translated into Kenya shillings at the rates of exchange ruling on the balance sheet date. Transactions during the year, which are expressed in foreign currencies, are translated at the rates ruling on the dates of the transactions. Gains and losses on exchange are dealt with in the income statement.

Financial instruments

A financial asset or liability is recognised when the group becomes party to the contractual provisions of the instrument.

The group classifies its financial assets into the following categories: financial assets at fair value through profit or loss, loans, advances and receivables, held-to-maturity investments and available-for-sale assets. Management determines the appropriate classification of its investments at initial recognition.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Financial assets at fair value through profit or loss

This category has two sub-categories: financial assets held for trading and those designated at fair value through profit or loss at inception. A financial asset is classified in this category if acquired principally for the purpose of selling in the short term or if so designated by management. Derivatives are also categorised as held for trading.

Trade receivables

Trade receivables are carried at anticipated realisable value. An estimate is made for doubtful receivables based on a review of all outstanding amounts at the period-end. Bad debts are written off when all reasonable steps to recover them have failed.

Held to maturity investments

Held-to-maturity investments are non-derivative financial assets with fixed or determinable payments and fixed maturities that management has the positive intention and ability to hold to maturity. Where a sale occurs other than an insignificant amount of held-to-maturity assets, the entire category is classified as available for sale.

Available-for-sale financial assets

These are financial assets that are not financial assets at fair value through profit or loss, loans, advances and receivables, or financial assets held to maturity.

Financial assets are initially recognised at fair value plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets are derecognised when the rights to receive cash flows from the financial assets have expired or where the company has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans, advances and receivables and held-to-maturity investments are carried at amortised cost using the effective interest method. Gains and losses arising from changes in the fair value of "financial assets at fair value through profit or loss" are included in the income statement in the period in which they arise. Gains and losses arising from changes in the fair value of available-for-sale financial assets are recognised directly in equity, until the financial asset is derecognised or impaired, at which time the cumulative gain or loss previously recognised in equity is recognised in the income statement.

Fair values of quoted investments in active markets are based on quoted bid prices. Equity securities for which fair values cannot be measured reliably are measured at cost less impairment.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

1 ACCOUNTING POLICIES (Continued)

Financial instruments (Continued)

Impairment and uncollectability of financial assets

At each balance sheet date, all financial assets are subject to review for impairment.

If it is probable that the group will not be able to collect all amounts due (principal and interest) according to the contractual terms of loans, receivables, or held-to-maturity investments carried at amortised cost, an impairment loss has occurred. The amount of the loss is the difference between the asset's carrying amount and the present value of expected future cash flows discounted at the financial instrument's original effective interest rate (recoverable amount). The carrying amount of the asset is reduced to its estimated recoverable amount. The amount of the loss incurred is included in the income statement for the period.

If a loss on a financial asset carried at fair value (recoverable amount is below original acquisition cost) has been recognised directly in equity and there is objective evidence that the asset is impaired, the cumulative net loss that had been recognised directly in equity is removed from equity and recognised in the income statement for the period even though the financial asset has not been derecognised.

Financial liabilities

After initial recognition, the group measures all financial liabilities other than liabilities held for trading at amortised cost. Liabilities held for trading (financial liabilities acquired principally for the purpose of generating a profit from short-term fluctuations in price or dealer's margin) are subsequently measured at their fair values.

Pension obligations

The group operates a defined contribution pension scheme for eligible employees. The scheme is externally administered and is funded by contributions from both the group and employees.

The group also contributes to the statutory National Social Security Fund. This is a defined contribution scheme registered under the National Social Security Fund Act. The group's obligations under the scheme are limited to specific contributions legislated from time to time and are currently limited to a maximum of Sh 200 per employee per month.

The group's obligations to these schemes are recognised in the income statement as they fall due.

Provision for employee entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. A provision is made for the estimated liability for annual leave accrued at the balance sheet date.

Cash and cash equivalents

For the purpose of the cash flow statement, cash and cash equivalents include short term liquid investments which are readily convertible to known amounts of cash and which were within three months to maturity when acquired less advances from banks repayable within three months from date of disbursement or confirmation of the advance.

Group overheads

All shared group expenses are apportioned to the respective subsidiaries on the basis of turnover.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 SEGMENT REPORTING

a) Primary reporting format – business segments

	PUBLISHING		BROADCASTING		OTHERS		ELIMINATIONS		CONSOLIDATED	
	2007	2006	2007	2006	2007	2006	2007	2006	2007	2006
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000	12 months Sh'000	15 months Sh'000
External Sales	1,913,912	2,184,539	694,306	780,071	-	-	-	-	2,608,218	2,964,610
Inter-segmental sales	44,889	40,449	44,889	40,449	-	-	(89,778)	(80,898)	-	-
Total Sales	<u>1,958,801</u>	<u>2,224,988</u>	<u>739,195</u>	<u>820,520</u>	<u>-</u>	<u>-</u>	<u>(89,778)</u>	<u>(80,898)</u>	<u>2,608,218</u>	<u>2,964,610</u>
Segment profit/(loss) from operations	269,119	171,142	180,400	156,988	-	(3,107)	-	-	449,519	325,023
Finance costs	(29,169)	(15,019)	(7,230)	(5,497)	-	-	-	-	(36,399)	(20,516)
Income tax expense	(90,984)	(53,625)	(32,316)	(45,625)	-	-	-	-	(123,300)	(99,250)
Net profit/(loss)	<u>148,966</u>	<u>102,498</u>	<u>140,854</u>	<u>105,866</u>	<u>-</u>	<u>(3,107)</u>	<u>-</u>	<u>-</u>	<u>289,820</u>	<u>205,257</u>
Attributable to: Minority Interest Shareholders of the parent									69,018 220,802	51,874 153,383
									<u>289,820</u>	<u>205,227</u>
OTHER INFORMATION										
Segment Assets	1,670,888	851,128	645,075	465,487	-	24,420	-	-	2,204,050	1,341,035
Segment Liabilities	1,601,299	628,281	155,877	117,143	-	33,666	-	-	1,411,493	723,490
Capital Expenditure	767,771	158,529	121,707	85,099	-	-	-	-	889,478	243,628
Depreciation and Amortisation Expense	82,122	85,025	37,008	46,743	-	-	-	-	119,130	131,768

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2 SEGMENT REPORTING (Continued)

b) Secondary reporting format – geographical segments

The group's sales to Uganda and Tanzania constitute less than 10% of gross revenue and have therefore not been reported separately.

	2007 (12 months) Sh'000	2006 (15 months) Sh'000
3 STAFF COSTS		
Salaries and wages	575,510	614,639
Pension contribution	16,059	13,592
Staff welfare	51,928	60,962
	643,497	689,193
	=====	=====
4 OTHER INCOME		
Sale of newspaper returns and production waste	14,508	16,911
Sale of dubbings	2,319	457
Voiceovers	-	156
Leasing fees	3,644	5,887
Others	3,560	3,218
Write back of provision	2,728	-
	26,759	26,629
	=====	=====
5 OPERATING PROFIT		
The operating profit is arrived at after charging:		
Depreciation	110,376	128,768
Amortisation	8,754	-
Directors' remuneration - Fees	4,438	4,646
- Other emoluments	62,622	69,852
Auditors' remuneration	2,926	2,480
Staff costs (note 3)	643,497	689,193
Gain on disposal of plant and equipment	3,616	-
Operating leases - rental property	65,800	80,307
- vehicles hire	-	4,828
Assets written off	-	1,942
	=====	=====
6 FINANCE COSTS		
Interest expense	36,356	20,237
Foreign exchange loss	43	279
	36,399	20,516
	=====	=====

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		2007 Sh'000	2006 Sh'000
7	TAXATION - GROUP		
a)	TAXATION EXPENSE		
	Current taxation charge based on adjusted profit at 30%	22,701	36,375
	Deferred tax (credit)/charge -current year (note 19)	75,520	61,584
	-prior year (note 19)	25,079	1,291
	Net deferred tax charge	100,599	62,875
	Total tax expense	123,300	99,250
		=====	=====
b)	RECONCILIATION OF EXPECTED TAX BASED ON ACCOUNTING PROFIT TO TAXATION EXPENSE		
	Profit before taxation	413,120	304,507
		=====	=====
	Tax at the applicable rate of 30%	123,936	91,352
	Tax effect of non-taxable income and non-deductible costs	(6,081)	6,607
	Prior year over accrual and deferred tax	5,445	1,291
		=====	=====
		123,300	99,250
		=====	=====
c)	TAXATION PAYABLE		
	At beginning of the year/period	8,880	28,764
	Current tax charge for the year / period	22,701	36,375
	Tax paid in the year	(14,612)	(56,259)
		=====	=====
	At 31 December	16,969	8,880
		=====	=====

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

8 PROFIT FOR THE YEAR

A profit of Sh 148,966,000 (2006 – loss of 3,107,000) has been dealt with in the books of The Standard Group Limited.

	2007	2006
9 (a) EARNINGS PER SHARE – BASIC & DILUTED		
Profit attributable to ordinary shareholders – Sh'000	220,802	153,383
	=====	=====
Shares in issue during the year	73,275,029	73,275,029
	=====	=====
Basic earning per share - Sh	3.01	2.09
	=====	=====

Although the number of shares was increased during the year from 65,133,359 to 73,275,029 by capitalisation of share premium, IAS 33 on Earnings Per Share requires that such adjustment of shares without the flow of resources be applied in retrospect to the earliest period presented.

The basic and diluted earnings per share were the same as at 31 December 2007 and 31 December 2006 as there were no potentially dilutive shares.

b) DIVIDENDS PER SHARE

A first and final dividend of Sh 1 (2006 - nil) per share amounting to a total of Sh 65,133,000 (2006 - nil) was paid during the year. Payment of dividends is subject to withholding tax at the rate of 5% or 10%, depending on the country of residence of the individual shareholders.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PLANT AND EQUIPMENT

GROUP

	Buildings	Plant & machinery	Motor vehicles	Furniture fittings & equipment	Total
	Sh'000	Sh'000	Sh'000	Sh'000	Sh'000
COST					
At 1 October 2005	-	422,746	60,473	230,483	713,702
Additions	-	169,957	33,763	39,908	243,628
Disposals	-	(2,561)	(3,838)	(5,298)	(11,697)
At 31 December 2006	-	590,142	90,398	265,093	945,633
At 1 January 2007	-	590,142	90,398	265,093	945,633
Transfer to intangible assets	-	-	-	(33,778)	(33,778)
Additions	146,870	620,478	42,432	31,029	840,809
Disposals	-	-	(23,793)	-	(23,793)
At 31 December 2007	146,870	1,210,620	109,037	262,344	1,728,871
DEPRECIATION					
At 1 October 2005	-	163,226	33,578	126,054	322,858
Charge for the period	-	63,965	18,946	45,857	128,768
Eliminated on disposals	-	(2,561)	(1,927)	(5,267)	(9,755)
At 31 December 2006	-	224,630	50,597	166,644	441,871
At 1 January 2007	-	224,630	50,597	166,644	441,871
Transfer to intangible assets	-	-	-	(19,051)	(19,051)
Charge for the year	245	59,532	20,824	29,775	110,376
Eliminated on disposals	-	-	(22,192)	-	(22,192)
At 31 December 2007	245	284,162	49,229	177,368	511,004
NET BOOK VALUE					
At 31 December 2007	146,625	926,458	59,808	84,976	1,217,867
At 31 December 2006	-	365,462	40,867	97,433	503,762

At 31 December 2007, plant and machinery, motor vehicles and furniture and equipment with cost amounting to Sh 57,824,032, Sh 20,096,482 and Sh 132,458,659 respectively (2006 – Sh 49,000,368, Sh 3,246,000 and Sh 80,900,248) were fully depreciated. The notional depreciation charge on these assets would have been Sh 5,782,403, Sh 4,442,778, and Sh 42,607,967, respectively (2006 – Sh 7,740,673, Sh 811,250 and Sh 26,212,342).

Legal charges of Shs 490 million and Shs 74 million to cover the borrowings of both the company and a subsidiary, The Baraza Limited, have been placed on the assets of the group as disclosed under note 20.

Included in plant and equipment are motor vehicles with a net book value of Sh 54,910,000 which are subject of finance leases as disclosed under note 20.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

10 PLANT AND EQUIPMENT

COMPANY

	Plant & machinery Sh'000	Motor vehicles Sh'000	Furniture fittings & equipment Sh'000	Buildings Sh'000	Total Sh'000
COST					
At January 2007	-	-	-	-	-
Transfer of assets from subsidiary	297,464	81,493	234,529	-	613,486
Transfer to intangible assets	-	-	(33,778)	-	(33,778)
Additions	510,256	42,432	19,544	146,870	719,102
Disposals	-	(17,508)	-	-	(17,508)
At 31 December 2007	807,720	106,417	220,295	146,870	1,281,302
DEPRECIATION					
At January 2007	-	-	-	-	-
On transfer of assets from subsidiary	96,875	41,723	144,418	-	283,016
Transfer to intangible assets	-	-	(19,051)	-	(19,051)
Charge for the year	29,057	20,793	23,273	245	73,368
Eliminated on disposals	-	(15,907)	-	-	(15,907)
At 31 December 2007	125,932	46,609	148,640	245	321,426
NET BOOK VALUE					
At 31 December 2007	681,788	59,808	71,655	146,625	959,876
At 31 December 2006	-	-	-	-	-

At 31 December 2007, plant and machinery, motor vehicles and furniture and equipment with cost amounting to Sh 20,878,978, Sh 17,477,058 and Sh 114,165,873 respectively (2006 – Sh nil) were fully depreciated. The notional depreciation charge on these assets would have been Sh 2,087,898, Sh 4,369,265, and Sh 37,025,054, respectively (2006 – Sh nil).

Legal charges of Shs 490 million and Shs 74 million to cover the borrowings of both the company and a subsidiary, The Baraza Limited, have been placed on the assets of the group as disclosed under note 20.

Included in plant and equipment are motor vehicles with a net book value of Sh 54,910,000 which are subject of finance leases as disclosed under note 20.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

		Sh'000
11	PREPAID OPERATING LEASE	
	GROUP AND COMPANY	
	COST	
	Additions and at 31 December 2007	44,000
	AMORTISATION	
	Charge for the year and at 31 December 2007	274
	NET BOOK VALUE	
	At 31 December 2007	43,726
		=====
	At 31 December 2006	-
		=====
	The prepaid operating lease relates to leasehold land where The Standard Group centre is located.	
12	INTANGIBLE ASSETS – COMPUTER SOFTWARE	
	GROUP AND COMPANY	
	COST	
	Transfer from property plant and equipment	33,778
	Additions	4,669
	At 31 December 2007	38,447
	AMORTISATION	
	Transfer from property plant and equipment	19,051
	Charge for the year	8,480
	At 31 December 2007	27,531
	NET BOOK VALUE	
	At 31 December 2007	10,916
		=====
	At 31 December 2006	-
		=====

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2007 Sh'000	2006 Sh'000
13 INVESTMENTS		
GROUP		
Kenya Television Network Limited (in receivership)	630	630

This balance represents an equity investment in Kenya Television Network Limited (in receivership) and is stated at cost less impairment loss. This subsidiary has not been consolidated as, in the opinion of the directors, control is intended to be temporary as the subsidiary is held with a view to subsequent disposal. The recorded value of the investment was reduced to its estimated net realisable value in 2005.

COMPANY	Shareholding %	2007 Sh'000	2006 Sh'000
Investment in subsidiaries (unquoted)			
The Standard Limited	100%	3,398	3,398
Baraza Limited	51%	92	92
Agency Sales and Promotion Limited	100%	2	2
Kenya Television Network Limited (in receivership)	100%	630	630
		4,122	4,122

The investment in The Standard Limited, Baraza Limited and Agency Sales and Promotion Limited are carried at cost. Agency Sales and Promotion Limited and Kenya Television Network (in receivership) are dormant companies.

14 INVENTORIES		
GROUP		
Raw materials	82,262	75,441
Consumables	23,846	11,939
Goods in transit	856	17,433
Stocks for resale	1,606	1,702
Broadcast programmes	40,228	42,344
	148,798	148,859
COMPANY		
Raw materials	81,832	-
Consumables	18,684	-
Goods in transit	856	-
Stocks for resale	1,606	-
	102,978	-

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2007 Sh'000	2006 Sh'000
15 TRADE AND OTHER RECEIVABLES GROUP		
Trade receivables	738,279	624,630
Provision for doubtful receivables	(135,859)	(126,022)
	602,420	498,608
Other receivables and prepayments	139,735	49,667
Value Added tax (VAT) recoverable	33,815	51,687
Due from an officer of the company	-	451
	775,970	600,413
COMPANY		
Trade receivables	522,874	-
Provision for doubtful receivables	(109,545)	-
	413,329	-
Other receivables and prepayments	96,173	783
Value Added Tax (VAT) recoverable	33,815	-
Due from an officer of the company	-	451
	543,317	1,234
16 SHARE CAPITAL GROUP AND COMPANY		
Authorised		
103,979,600 ordinary shares of Sh 5 each	519,898	519,898
20,400 8% preference shares of Sh 5 each	102	102
	520,000	520,000
Issued and fully paid		
73,275,029 (2006 – 65,133,359) ordinary shares of Sh 5 each	366,375	325,667
20,400 8% preference shares of Sh 5 each	102	102
	366,477	325,769

During the year, the company issued 8,141,670 bonus shares by capitalising Sh. 40,708,350 from the share premium. The movement in the number of shares issued and fully paid was as follows;

	866 2006 No.	No.
At the start of the year/period	65,133,359	65,133,359
Bonus issue	8,141,670	-
At the end of the year/period	73,275,029	65,133,359

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2007 Sh'000	2006 Sh'000
17 MINORITY INTEREST		
Start of year/period	170,688	118,814
Share of results for the year/period	69,018	51,874
At 31 December	239,706	170,688
18 DUE TO RELATED PARTIES		
GROUP		
The Standard Group Media Holdings Limited (common shareholding)	61,375	61,961
Trade World Kenya Limited (shareholders)	20,240	20,240
Miller Trustees (shareholders)	40,480	40,480
	122,095	122,681
Balances due to related parties are repayable as follows:		
On demand and within one year	-	20,880
Between 1 and 2 years	-	14,400
Between 2 and 5 years	122,095	87,401
	122,095	122,681
Amount due for settlement within one year	-	(20,880)
Amount due for settlement after one year	122,095	101,801
COMPANY		
Baraza Limited	108,423	14,995
The Standard Limited	363,932	(7,324)
Kenya Television Network Limited (in receivership)	(4,579)	6,800
	467,776	14,471

The loan from the Standard Group Media Holdings Limited is repayable within the next three years and is interest free. The loans from Miller Trustees and Trade World Limited are repayable within the next three years and attract interest at a rate of 8%. All loans are unsecured.

The group has transactions with shareholders and companies in which directors of The Standard Group Limited (TSL) are also directors (see note 25).

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2007 Sh'000	2006 Sh'000
19 DEFERRED TAX		
GROUP		
Deferred tax assets:		
General provisions	(2,830)	(1,824)
Tax losses carried forward	(113,675)	-
	<u>(116,505)</u>	<u>(1,824)</u>
Deferred tax liability:		
Accelerated capital allowances	252,121	35,017
Net deferred Tax liability	<u>135,616</u>	<u>35,017</u>
Movement on the deferred liability is as follows:		
At start of year/period	35,017	(27,858)
Income statement charge – current year (note 7(a))	75,520	61,584
- prior year (note 7(a))	25,079	1,291
At 31 December	<u>135,616</u>	<u>35,017</u>
COMPANY		
Deferred tax liability		
Accelerated capital allowances	232,622	-
Tax losses carried forward	(113,974)	-
Leave provision	(1,140)	-
Net deferred Tax liability	<u>117,508</u>	<u>-</u>

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2007 Sh'000	2006 Sh'000
20 BORROWINGS		
GROUP		
CFC Bank Limited (Hire purchase loan)	37,951	-
CFC Bank Limited (Term loan)	160,882	-
Kenya Commercial Bank Limited (Hire purchase Loan)	6,393	-
Kenya Commercial Bank Limited (overdraft)	457	-
CFC Bank Limited (Bank overdraft)	164,342	45,459
Commercial Bank of Africa Limited (Term loan)	331,515	49,475
Commercial Bank of Africa Limited (Overdraft)	243	-
	<u>701,783</u>	<u>94,934</u>
	=====	=====
The borrowings are repayable as follows:		
On demand and within one year	250,318	57,788
Between 1 and 2 years	104,363	19,078
Between 2 and 5 years	347,102	18,068
	<u>701,783</u>	<u>94,934</u>
Amount due for settlement within one year	(250,318)	(57,788)
	<u>451,465</u>	<u>37,146</u>
	=====	=====
COMPANY		
CFC Bank Limited (Hire purchase loan)	37,951	-
CFC Bank Limited (Term loan)	160,882	-
Kenya Commercial Bank Limited (Hire purchase Loan)	6,393	-
Kenya Commercial Bank Limited (overdraft)	457	-
CFC Bank Limited (Bank overdraft)	151,912	-
Commercial Bank of Africa Limited (Term loan)	277,490	-
	<u>635,085</u>	<u>-</u>
	=====	=====
The borrowings are repayable as follows:		
On demand and within one year	223,278	-
Between 1 and 2 years	89,997	-
Between 2 and 5 years	321,810	-
	<u>635,085</u>	<u>-</u>
Amount due for settlement within one year	(223,278)	-
	<u>411,807</u>	<u>-</u>
	=====	=====

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

20 BORROWINGS (Continued)

The bank facilities are denominated in Kenya shillings with variable interest rates. The term loans and overdrafts are secured by joint and several debentures over the assets of the group, stamped and registered to secure Sh 74 million in favour of Commercial Bank of Africa Limited and ranking pari passu with the debenture in the amounts of Sh. 490 million in favour of CFC Bank Limited.

Hire purchase loans are secured by the assets that are the subject of those loans.

	31 December 2007 %	31 December 2006 %
The effective interest rates on the borrowings are as follows:		
CFC Bank Limited (Bank overdraft)	13	14
Commercial Bank of Africa Limited (Term loan)	12	12
Kenya Commercial Bank Limited	12	-
	=====	=====
	2007 Sh'000	2006 Sh'000

21 TRADE AND OTHER PAYABLES

GROUP

Trade payables	186,477	221,915
Other payables and accruals	236,331	228,112
Dividend payable	-	5,425
VAT payable	6,590	1,568
Leave provision	5,632	4,958
	=====	=====
	435,030	461,978

COMPANY

Trade	163,396	-
Other payables	211,789	5,425
Leave provision	3,803	649
	=====	=====
	378,988	6,074

2007 12 months Sh'000	2006 15 months Sh'000
-----------------------------	-----------------------------

22 NOTES TO THE CASH FLOW STATEMENT

Reconciliation of operating profit to cash generated from operations

Operating profit	449,519	325,023
Adjustments for:		
Depreciation	110,376	128,768
Amortisation	8,754	-
Gain on sale of plant and equipment	(3,616)	-
Exchange losses	(43)	(279)
Assets written off	-	1,942
	=====	=====

Operating profit before working capital changes	564,990	455,454
Decrease in inventories	(61)	(14,053)
Increase in trade and other receivables	(175,557)	(215,195)
(Decrease)/increase in trade and other payables	(26,949)	169,997
	=====	=====

Cash generated from operations	362,423	396,203
	=====	=====

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

	2007 Sh'000	2006 Sh'000
22 NOTES TO THE CASH FLOW STATEMENT (Continued)		
Cash and cash equivalents		
Bank and cash balances	6,143	37,696
Bank overdraft	(165,498)	(45,459)
	<u>(159,355)</u>	<u>(7,763)</u>
	=====	=====

23 RETIREMENT BENEFIT OBLIGATIONS

The group contributes to a pension and provident plan established for the benefit of its employees. The pension plan is a defined contribution scheme, whereby the group matches contributions to the fund made by employees up to 5% of the employee's pensionable salary. The provident fund is a defined non-contributory scheme whereby the employer contributes Sh 300 per month for each employee.

During the year, the group expensed Sh 16,059,000 (2006 – Sh 13,592,000) in contributions payable.

24 OPERATING LEASES

	2007 Sh'000	2006 Sh'000
Outstanding commitments under operating leases are as follows:		
Tenancy payable		
Not later than one year	65,800	43,167
Between one and two years	36,608	193,929
Between two and five years	109,822	258,242
	<u>212,230</u>	<u>495,338</u>
	=====	=====
Amounts charged to profit and loss account in the year in respect of operating leases	65,800	80,307
	<u>=====</u>	<u>=====</u>

The group leases a number of premises under operating leases. The leases typically run for an initial period of between one to twelve years, with an option to renew the lease after that date.

	2007 Sh'000	2006 Sh'000
Lease of vehicles		
Less than 1 year	-	6,750
Between 1 and 3 years	-	3,126
	<u>-</u>	<u>9,876</u>
	=====	=====
Amounts charged to profit and loss account in the year in respect of operating leases	-	4,828
	<u>=====</u>	<u>=====</u>

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

25 RELATED PARTIES TRANSACTIONS

The group has transactions with shareholders and companies in which directors of The Standard Group Limited (TSL) are also directors.

	2007 (12 months) Sh'000	2006 (15 months) Sh'000
Intercompany transactions		
Advertising		
Advertising done by TSL for Baraza Limited	(44,889)	(40,449)
Advertising done by Baraza Limited for TSL	44,889	40,449
	<u>-</u>	<u>-</u>
	=====	=====

Related parties balances not settled at year end are disclosed under note 17.

Key management compensation

Salaries and other benefits	98,636	106,331
	=====	=====
Directors' remuneration		
Fees for services as directors	4,438	4,646
Other emoluments (included in key management compensation above)	62,622	69,852
	<u>67,060</u>	<u>74,498</u>
	=====	=====

26 CAPITAL COMMITMENTS

Authorised and contracted for	213,777	435,160
Authorised but not contracted for	100,500	103,737
	<u>314,277</u>	<u>538,897</u>
	=====	=====

27 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES

Financial risk management

The company's activities expose it to a variety of financial risks, including credit risk and the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The company's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Risk management is carried out by the finance department under policies approved by the Board of Directors. Finance identifies, evaluates and hedges financial risks. The Board provides written principles for overall risk management, as well as written policies covering specific areas such as foreign exchange risk, interest rate risk, credit risk, use of derivative and non-derivative financial instruments and investing excess liquidity.

The company has policies in place to ensure that sales are made to customers with an appropriate credit history.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Market risk

Foreign exchange risk

The company is exposed to foreign exchange risk arising from various currency exposures, primarily with respect to the US dollar and Euro. Foreign exchange risk arises from future commercial transactions, recognised assets and liabilities.

The exposure is minimal and the company absorbs any losses arising there from.

Price risk

The company does not hold investments that would be subject to price risk; hence this risk is not relevant.

Cash flow and fair value interest rate risk

The company has borrowings in the form of overdraft facilities and 5 year term loans with two banks namely Commercial Bank of Africa Limited and CFC Bank Limited with a combined limit of Sh 140 million at rates determined by prevailing market condition.

Credit risk

Credit risk is managed on a group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade and other receivables. The company financial controller assesses the credit quality of each customer, taking into account its financial position, past experience and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the Board. The utilisation of credit limits is regularly monitored.

The amount that best represents the company's maximum exposure to credit risk as at 31 December 2007 is made up as follows:

Receivables	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000
Advertising	224,813	77,066	63,124
Circulation	42,940	8,018	21,340
Trade Debtors – PDS	67,071	21,195	25,081
Trade Debtors – Baraza	189,001	26,404	26,314
Others	42,866	10,468	
Totals	566,691	143,151	135,859

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Credit risk (continued)

The amount that best represents the group's maximum exposure to credit risk as at 31 December 2006 is made up as follows:

Receivables	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000
Advertising	213,486	91,105	82,143
Circulation	50,740	-	2,553
Trade Debtors – PDS	90,748	1,244	12,282
Trade Debtors – Baraza	186,138	22,209	29,043
Others	13,932	4,118	
Totals	555,044	118,676	126,021

The customers under the fully performing category are paying their debts as they continue trading. The default rate is low.

The debt that is overdue is not impaired and continues to be paid. The credit control department is actively following this debt. In addition, the Group has bank guarantees of Shs 15.16 million as at December 2007, which can be enforced in the event of customer default. Further, for Circulation, the debt is partially covered by cumulative cash deposits by Vendors and Agents.

The Standard Group Limited balances will be offset against related payables.

The debt that is impaired has been fully provided for. However, debt collectors as well as the legal department are following up on the impaired debt.

Cash and cash equivalents

	Fully performing Sh'000	Past due Sh'000	Impaired Sh'000
At December 2007	6,143	-	-
At December 2006	37,696	-	-

Cash and cash equivalents are fully performing.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

Liquidity risk

Prudent liquidity risk management includes maintaining sufficient cash to meet group obligations. The treasury function reviews the cash forecast monthly and determines the cash requirement. Cash generated from operations is healthy but if a heavy cash requirement is necessary there exists overdraft facilities with Commercial Bank of Africa Limited and CFC Bank Limited with a combined limit of Sh. 140 million.

The table below analyses the group's financial liabilities that will be settled on a net basis into relevant maturity groupings based on the remaining period at the balance sheet date to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.

	Less than 1 month Sh'000	Between 1 – 3 months Sh'000	Over 3 months Sh'000
At 31 December 2007:			
- borrowings – shareholder loans	-	-	122,095,
- borrowings – bank borrowings	-	-	505,519
- Hire Purchase Loans	-	9,712	34,631
- Overdraft Facility	12,673	160,433	
- trade and other payables	17,380	90,081	76,271
At 31 December 2006:			
- borrowings – bank borrowings	-	12,329	49,475
- trade and other payables	1,568	-	37,778

Capital risk management

The group's objectives when managing capital are to safeguard the company's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the company may adjust the amount of dividends paid to shareholders or sell assets to reduce debt.

Consistent with others in the industry, the group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings less cash and cash equivalents. Total capital is calculated as equity plus net debt.

THE STANDARD GROUP LIMITED

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27 FINANCIAL RISK MANAGEMENT OBJECTIVES AND POLICIES (Continued)

The constitution of capital managed by The Standard Group Limited is as shown below:

	31 December 2007 Sh'000	31 December 2006 Sh'000
Share capital	366,477	325,769
Share premium	3,765	44,473
Retained earnings	182,609	26,940
Minority interest	239,706	170,688
Equity	792,557	567,870
Total borrowings	701,783	94,934
Less: cash balances	(6,143)	(37,696)
Net debt	695,640	57,238
Total capital	792,557	567,870
Gearing	88 %	10%

28 CONTINGENT LIABILITIES

As at 31 December 2007, the group had outstanding contingent liabilities amounting to Sh 62 million (2006 – Sh 26 million) in respect of on-going litigations arising in the normal course of business.

29 ULTIMATE HOLDING COMPANY

The ultimate holding company is SNG Holdings Limited, which is incorporated in the United Kingdom.

30 INCORPORATION

The company is domiciled and incorporated in Kenya under the Companies Act.

31 CURRENCY

The financial statements are presented in Kenya Shillings Thousands (Sh'000)

Appendix I

THE STANDARD GROUP LIMITED

DETAILED INCOME STATEMENT – COMPANY
FOR THE YEAR ENDED 31 DECEMBER 2007

		12 months to 31 December 2007 Sh'000	15 months to 31 December 2006 Sh'000
REVENUE	Appendix II	1,958,801	-
DIRECT COSTS	Appendix II	(662,116)	-
GROSS PROFIT		1,296,685	-
STAFF COSTS	Appendix II	(447,649)	-
SELLING AND DISTRIBUTION COSTS	Appendix III	(201,751)	-
ADMINISTRATION EXPENSES	Appendix III	(392,674)	-
OTHER INCOME/(EXPENSES)	Appendix IV	14,508	(3,107)
OPERATING PROFIT/(LOSS)		269,119	(3,107)
NET FINANCE COSTS	Appendix IV	(29,169)	-
PROFIT/(LOSS) BEFORE TAXATION		239,950	(3,107)
TAXATION EXPENSE		(90,984)	-
PROFIT/(LOSS) AFTER TAXATION		148,966	(3,107)

Appendix II

THE STANDARD GROUP LIMITED

INCOME STATEMENT CLASSIFICATION - COMPANY

	12 months to 31 December 2007 Sh'000	15 months to 31 December 2006 Sh'000
REVENUE		
Newspaper circulation	731,223	-
Newspaper advertising	1,068,688	-
Magazines and newspapers	158,890	-
	1,958,801	-
	=====	=====
DIRECT COSTS		
Material cost	388,983	-
Contribution	55,920	-
Cost of sales PDS	114,811	-
Air freight	10,166	-
Depreciation	15,057	-
News service	2,470	-
Maintenance	14,968	-
Production salaries	36,953	-
Bonus – Advertising	22,788	-
	662,116	-
	=====	=====
STAFF COSTS		
Salaries and wages	337,414	-
Pension contribution	11,640	-
Other personnel costs	98,595	-
	447,649	-
	=====	=====

Appendix III

THE STANDARD GROUP LIMITED

INCOME STATEMENT CLASSIFICATION – COMPANY

	12 months to 31 December 2007 Sh'000	15 months to 31 December 2006 Sh'000
SELLING AND DISTRIBUTION COSTS		
Transport and distribution costs	47,039	-
Packing materials	866	-
Marketing and promotion	12,812	-
Commission	96,145	-
Inter Company Sales	44,889	-
	201,751	-
ADMINISTRATION EXPENSES		
Vehicle running and hire	57,272	-
Travel and accommodation	19,622	-
Entertainment	2,519	-
Rent and office expenses	70,793	-
Telephone and postages	29,067	-
Electricity and water	16,228	-
Printing and Stationery	11,471	-
Subscription and donation	5,403	-
Professional fees	59,950	-
Bad debts	17,399	-
General Insurance	17,971	-
Depreciation charge	54,854	-
Amortisation	8,754	-
Bank charges	8,655	-
Training	11,882	-
Others	834	-
	392,674	-

Appendix IV

THE STANDARD GROUP LIMITED

INCOME STATEMENT CLASSIFICATION - COMPANY

	12 months to 31 December 2007 Sh'000	15 months to 31 December 2006 Sh'000
OTHER INCOME/(EXPENSES)		
(Loss)/profit on disposal of property, plant and equipment	2,111	-
Other income/(expense)	12,397	(3,107)
	<u>14,508</u>	<u>(3,107)</u>
NET FINANCE COSTS		
Foreign exchange loss/(gain)	(27)	-
Net interest expenses	29,196	-
	<u>29,169</u>	<u>-</u>